

24STCV02015 24STCV02015

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-07-29

Motion: DEFENDANTS JAMES K. WANG AND JAMES K. WANG CPA FINANCIAL & INSURANCE SERVICES'
DEMURRER TO FIRST AMENDED COMPLAINT

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Case Number: 24STCV02015 Hearing Date: July 29, 2026 Dept: 733

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

CHARLES

T. MATHEWS, an individual; CINDY F. CHIANG, an individual; and CHARLES T.

MATHEWS AND ASSOCIATES, a California professional corporation,

Plaintiffs,

vs.

JAMES K. WANG, an individual; JAMES K. WANG CPA FINANCIAL

& INSURANCE SERVICES; KNEAVE RIGGALL; and DOES 1 – 20, inclusive,

Defendants.

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CASE

NO.: 24STCV02015

[TENTATIVE] ORDER RE: DEFENDANTS

JAMES K. WANG AND JAMES K. WANG CPA FINANCIAL & INSURANCE SERVICES'

DEMURRER TO FIRST AMENDED COMPLAINT

Dept. 733

8:30 a.m.

July 29, 2026

I.

INTRODUCTION

On January 25, 2024, Plaintiffs Charles T. Mathews ("Mathews"), Cindy F. Chiang ("Chiang") and Charles T. Mathews and Associates ("M&A") ("Plaintiffs") initiated this action.

On August 27, 2024, Plaintiffs filed a first amended complaint ("FAC") against Defendants James K. Wang, James J. Wang CPA Financial & Insurance Services ("CPA Defendants"), Kneave Riggall ("Riggall") (together, "Defendants"), alleging causes of action for (1) Negligence, (2) Negligent Misrepresentation, (3) Breach of Fiduciary Duty, (4) Fraudulent Concealment, (5) Indemnity, (6)

Quantum Meruit and Restitution.

Plaintiffs allege

the following. CPA Defendants were hired by Mathews and Chiang prior to the events at issue in this action. (FAC ¶ 13.) As part of the tax planning for Plaintiffs Mathews and Chiang for the tax year of 2020, the CPA Defendants recommended to Plaintiffs Mathews and Chiang that they create a new corporate entity for tax purposes, assured Plaintiffs that this would inure to their benefit, and further failed to advise them of tasks that they needed to take to maximize any benefits from this decision. (Id. ¶ 15.) Thus, the Plaintiff Corporation was formed by the CPA Defendants in early December 2020. (Id. ¶ 16.)

It was not until

the Summer of 2022, that Plaintiffs began to learn that the advice given by the CPA Defendants regarding the creation of the Plaintiff Corporation was bad advice that threatened great injury to Plaintiffs. (Id. ¶ 17.)

Beginning in or

around late Summer of 2022, Plaintiffs hired new tax professionals, including a new CPA who was hired in or around December of 2022 (the “New Tax Professionals”). The New Tax Professionals discovered through investigation a host of additional errors caused and concealed by the CPA Defendants, in not only the 2020 returns, but elsewhere as well. Beginning in late Summer of 2022 through the present, Plaintiffs have been forced to spend substantial sums in professional fees to the New Tax Professionals to correct the damaging decisions and breaches of duty caused by the CPA Defendants. (Id. ¶ 18.)

Further, sometime

in or before 2017, Plaintiff hired the Riggall to assist with some IRS issues. (Id. ¶ 23.) Upon and after the hiring of the Riggall, his errors and omissions were truly stunning, and compounding, including, among other things: incorrectly calculating dates that would eventually cause them harm, erroneously evaluating various tax documents of Plaintiffs in a manner that eventually caused them harm, making false assertions regarding the importance of certain dates in a manner that eventually caused them harm, engaging useless “procedures” with the IRS, while failing to advise as to actually effective methods that could be taken, recommending absurd lawsuits against the government that he should have known were lacking in merit, all the while demanding bonuses for his supposedly great work. (Id. ¶ 25.)

On March 12, 2026,
CPA Defendants filed the instant demurrer.

On July 16, 2026,
Plaintiffs filed an opposition.

On July 22, 2026,
Defendants filed a reply.

II.

LEGAL STANDARD

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading “by raising questions of law.” (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) “In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc., § 452.) The court “‘treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law . . .’” (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.)

When a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Ibid.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.)

III.

DISCUSSION

CPA Defendants demur to the third, fourth, fifth, and sixth causes of action.

1.

Third Cause of

Action: Breach of Fiduciary Duty

CPA Defendants demur to the cause of action for Breach of
Fiduciary Duty on the

ground

that Plaintiffs have failed to allege that CPA Defendants owed a fiduciary duty
to Plaintiffs. The Court agrees.

"The elements of a cause of action for breach of fiduciary duty are: (1)
existence of a fiduciary
duty; (2) breach of the fiduciary duty; and (3)
damage proximately caused by the breach." (Stanley v. Richmond (1995) 35 Cal.App.4th 1070, 1086.)

A fiduciary relationship is " 'any
relation existing between parties to a transaction wherein one of the parties
is in duty bound to act with the utmost good faith for the benefit of the other
party. Such a relation ordinarily arises where a confidence is reposed by one
person in the integrity of another, and in such a relation the party in whom
the confidence is reposed, if he voluntarily accepts or assumes to accept the
confidence, can take no advantage from his acts relating to the interest of the
other party without the latter's knowledge or consent....' " (Wolf v. Superior Ct. (2003) 107 Cal.App.4th 25, 29; Apollo
Capital Fund LLC v. Roth Capital Partners, LLC (2007) 158 Cal.App.4th 226,
246 ["[B]efore a person can be charged with a fiduciary obligation, he must
either knowingly undertake to act on behalf and for the benefit of another, or
must enter into a relationship which imposes that undertaking as a matter of
law."].) "A fiduciary relationship is created where a person reposes trust and
confidence in another and the person in whom such confidence is reposed obtains
control over the other person's affairs." (Lynch v. Cruttenden & Co.
(1993) 18 Cal.App.4th 802, 809.)

There

are no facts to suggest that any fiduciary relationship exists between
Plaintiffs and their accountants, CPA Defendants. (See FAC ¶¶ 7-8.) The
mere provision of professional services by a CPA, including advice regarding
corporate formation for tax reasons and evaluation of tax documents, does not in itself create a
fiduciary relationship and Plaintiffs have provided no foundation in law to
hold otherwise.

While in

Stokes v. Henson (1990) 217 Cal.App.3d 187 the court found that a fiduciary relationship existed between Plaintiffs and Defendant, who was a "CPA and tax preparer," the Court also found that the Defendant also acted "as investment advisor, trustee of the commodities accounts, managing partner of the gold mine venture, and securities broker-dealer...." (Id. at p. 194.) There are no facts alleged here that would place CPA Defendants' role beyond mere accountant services.

While Plaintiffs allege that they "trusted the CPA Defendants," "[t]he mere placing of a trust in another person does not create a fiduciary relationship." (Zumbrun v. University of Southern California (1972) 25 Cal.App.3d 1, 13 ["agreement to communicate one's knowledge, exercising his special knowledge and skill in the area of learning concerned, does not create a trust but only a contractual obligation."].)

The demurrer to the third cause of action is sustained.

2.

Fourth

Cause of Action: Fraudulent Concealment

CPA Defendants demur to the fourth cause of action on the ground that Plaintiffs failed

to adequately allege that CPA Defendants had a duty to disclose material facts and intentionally failed to disclose said facts; and that the claim is not pled with the requisite specificity. The Court disagrees.

"[T]he elements

of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.' [Citation]." (Blickman Turkus, LP v.

MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868 (Blickman).)

CPA Defendants argue that Plaintiff failed to adequately allege fraudulent concealment with specificity because Plaintiffs failed to “allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written,” especially as it pertains to the corporate CPA Defendant. (Tarmann v. State Farm Mutual Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.) However, this rule is inapplicable to a claim of fraudulent concealment. (Alfaro v. Community Housing Improvement System & Planning Association, Inc. (2009) 171 Cal.App.4th 1356, 1384 [“How does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?”].) Instead, such details, in the context of a fraudulent concealment claim, “are properly the subject of discovery, not demurrer.” (Id. at pp. 1384-85; Tarmann, supra, 2 Cal.App.4th at p. 158 [“We acknowledge that the requirement of specificity is relaxed when the allegations indicate that ‘the defendant must necessarily possess full information concerning the facts of the controversy’ [Citation.]”].)

Nonetheless, the finds that Plaintiffs have sufficiently alleged a duty to disclose. ““There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]’ [Citation.]” (LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.) Other than the existence of a fiduciary relationship, “the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise.... ‘[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.’ [Citation.]” (Id. at pp. 336-337.) “A relationship between the parties is present if there is “some sort of transaction between the parties. [Citations.] Thus, a duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (Id.

at p. 337.)

Here, Plaintiffs allege that CPA Defendants “breached the duty of disclosure by intentionally failing to disclose certain facts – specifically facts relating to the negligently prepared documents, as well as the comprehensively erroneous and bad faith advice with respect to the formation of the Corporate Plaintiff (as well as the gross negligence in the manner in which the Corporate Plaintiff was formed and its books maintained by the CPA Defendants), and that these errors would cost Plaintiffs substantial sums in penalties, interests, and other payments if the IRS and/or California FTB ever challenged those returns. These were facts that only the CPA Defendants could have known.” (FAC ¶ 48.)

Plaintiffs approached CPA Defendants for their expertise in tax preparation and tax planning. (Id. ¶ 14.) Plaintiffs and CPA Defendants thus were in a professional relationship, wherein Plaintiffs sought CPA Defendants’ tax expertise. Plaintiffs then allege that the CPA Defendants failed to disclose important information regarding the corporate formation of M&A, information to which Plaintiffs were not privy. (Pavicich v. Santucci (2000) 85 Cal.App.4th 382, 386 [finding a duty to disclose in a transaction-based relationship between a potential investor and attorney of partnership, where attorney gave specific information, including making reference to a release, but failed to disclose material information about the release].)

The demurrer to the fourth cause of action is overruled.

3.

Fifth

Cause of Action: Indemnity

CPA Defendants demur to the fifth cause of action on the ground failed to allege facts

sufficient to establish the existence of an express or implied promise that would require Defendants to indemnify Plaintiffs.

“Equitable indemnity is an equitable doctrine that

apportions responsibility among tortfeasors responsible for the same indivisible injury on a comparative fault basis.” (Fremont Reorganizing Corp. v. Faigin (2011) 198 Cal.App.4th 1153, 1176–77.) “[T]he equitable indemnity doctrine originated in the common sense proposition that when two individuals are responsible for a loss, but one of the two is more culpable than the other, it is only fair that the more culpable party should bear a greater share of the loss.” (American Motorcycle Assn. v. Superior Court (1978) 20 Cal.3d 578, 593.) “A right of equitable indemnity can arise only if the prospective indemnitor and indemnitee are mutually liable to another person for the same injury.” (Fremont Reorganizing Corp, supra, 198 Cal.App.4th at p. 1177.)

Here, Plaintiffs allege that “[a]ny and all disputes with the taxation authorities, and any consequences therefrom, including, but not limited to, additional payments, interest, and penalties as well as fees paid to the New Tax Professionals – arose out of and were caused by the tortious conduct of the CPA Defendants and the [Riggall].” (FAC ¶ 55.)

Plaintiffs do not allege a cause of action for indemnity. They do not allege that they and CPA Defendants would otherwise be jointly liable to a third-party. They claim that CPA Defendants and Riggall are jointly responsible to Plaintiffs. This is simply not how a claim for indemnity works.

“Under the equitable indemnity doctrine, defendants are entitled to seek apportionment of loss between the wrongdoers in proportion to their relative culpability so there will be ‘equitable sharing of loss between multiple tortfeasors.’ (Citation).” (Gem Devs. v. Hallcraft Homes of San Diego, Inc. (1989) 213 Cal.App.3d 419, 426 (emphasis added) [equitable indemnity “is an extension of the comparative fault doctrine which allowed loss to be apportioned between plaintiff and defendants according to their respective responsibility for the loss”] (emphasis added); Forensics Grp., Inc. v. Frantz, Townsend & Foldenauer (2005) 130 Cal.App.4th 14, 28 (internal citations omitted) “[I]n the case law of equitable indemnity ... one point stands clear: there can be no indemnity without liability. In other words, unless the prospective indemnitor and indemnitee are jointly and severally liable to the plaintiff there is no basis for indemnity.”].)

The demurrer to the fifth cause of action is sustained.

4. Quantum

Meruit and Restitution

"[A]n individual may be required to make restitution if he is unjustly enriched at the expense of another. [Citation.] A person is enriched if he receives a benefit at another's expense. [Citation.] The term 'benefit' 'denotes any form of advantage.'" (Ghirardo v. Antonioli (1996) 14 Cal.4th 39, 51–52.) "The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched." (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769, quotation marks and citations omitted.)

"Quantum meruit refers to the well-established principle that 'the law implies a promise to pay for services performed under circumstances disclosing that they were not gratuitously rendered.' (Citation.) To recover in quantum meruit, a party need not prove the existence of a contract (Citation), but it must show the circumstances were such that 'the services were rendered under some understanding or expectation of both parties that compensation therefor was to be made'" (Chodos v. Borman (2014) 227 Cal.App.4th 76, 96.) "If one has received a benefit which one may not justly retain, one should 'restore the aggrieved party to his [or her] former position by return of the thing or its equivalent in money.' [Citation.] [¶] The idea that one must be benefited by the goods and services bestowed is thus integral to recovery in quantum meruit; hence courts have always required that the plaintiff have bestowed some benefit on the defendant as a prerequisite to recovery." (Maglica v. Maglica (1998) 66 Cal.App.4th 442, 449-450.)

Here, Plaintiffs

allege that they hired the CPA Defendants and the Riggall to perform services, and paid a total of \$39,700 to the former, and \$107,011 to the latter, in exchange for services and advice that not only caused Plaintiffs' injury, but

also that fell below the standards and rules and regulations governing the respective licenses and professions of the CPA Defendants and Riggall. As such, Defendants, and each of them, were unjustly enriched at the expense of Plaintiffs. (FAC ¶¶ 58-59.) There is no allegation that Plaintiff rendered any services to CPA Defendants.

The demurrer to the sixth cause of action is sustained.

IV.

CONCLUSION

Thus, CPA Defendants' demurrer is SUSTAINED as to the third, fifth, sixth cause of action with thirty (30) days leave to amend. The demurrer is OVERRULED as to the fourth cause of action.

Dated this 29th
day of July 2026

Hon. Gary
D. Roberts

Judge
of the Superior Court